

Fundamentals of Management (Course: PCCBT302)

This document covers the core concepts from the syllabus, including the evolution of management, functions of management, organizational structures, and organizational behavior.

Module 1: Introduction to Management

1. Evolution of Management Thought

The study of management has evolved through several distinct eras:

- **Pre-Scientific Management Era (Before 1880s)**

- Management practices were influenced by organizations like the Roman Catholic Church and military structures.
- **Key Contributors:**
 - **Professor Charles Babbage (UK):** Argued that manufacturers should rely on science and mathematics for accuracy and productivity, rather than guesswork.
 - **Robert Owens (UK):** Considered the “father of personal management.” He focused on employee welfare by encouraging:
 - Training for workers.
 - Education for their children.
 - Canteens in the workplace.
 - Shorter working hours.

- **Classical Management Theory (1880-1930)**

- Marked the beginning of the “science of management,” closely tied to the industrial revolution.
- **Focus Areas:** Job content, standardization, division of labor, and a scientific approach to organization.
- **Schools of Thought:**
 - **Scientific Management (F.W. Taylor):**
 - **Frederick W. Taylor** is known as the “father of scientific management.”
 - **Definition:** “Knowing exactly what you want your men to do & seeing that they do it in the best & cheapest way.”
 - **Core Principles:**
 1. Replacing “rules of thumb” with scientific methods.
 2. Achieving cooperation among human beings.
 3. Working for maximum output.
 4. Developing workers to their fullest potential.
 - **Techniques:** Scientific study of work, scientific selection and training, standardization of materials and conditions, division of responsibility between managers and workers, and wage incentives.

- **Contributions from others:**

- **Frank Gilbreth:** Developed Time Study (observing and timing tasks) and Motion Study (analyzing body motions to eliminate inefficiency), leading to the concept of **Therbligs** (18 basic micro-motions of work).
- **Henry Gantt:** Improved Taylor's wage system with the "Task and Bonus Plan" and developed the **Gantt Chart** for project scheduling.
- **Administrative Management (Henri Fayol):** (Mentioned in syllabus, details not in slides).
- **Bureaucratic Management (Max Weber):** (Mentioned in syllabus, details not in slides).

- **Neo-Classical Management Theory (1930-1950)**

- Shifted focus to the human and social factors within the workplace.
- **Schools of Thought:**
 - **Human Relations Movement:**
 - **Founder:** Elton Mayo.
 - **Focus:** Interpersonal relations and their impact on productivity.
 - **Hawthorne Experiment:** A landmark study that concluded production efficiency depends heavily on emotional factors and social dynamics, not just physical work conditions.
 - **Behavioral Sciences Movement:**
 - **Focus:** A deeper understanding of human behavior.
 - **Key Theories:**
 - **Maslow's Hierarchy of Needs:** A theory of motivation based on fulfilling hierarchical human needs.
 - **Herzberg's Two-Factor Theory:** Differentiates between 'Hygiene factors' (which cause dissatisfaction if absent) and 'Motivator factors' (which create satisfaction).
 - **McGregor's Theory X and Theory Y:** Contrasting assumptions about employee motivation (Theory X assumes employees are lazy; Theory Y assumes they are self-motivated).

- **Modern Management Theory (1950-Present)**

- **Approaches:**
 - **Quantitative Approach:** Uses mathematical models and statistics for decision-making.
 - **Systems Approach:** Views an organization as a unified system of interrelated parts (Inputs -> Transformation Process -> Outputs) that interacts with its external environment.

- **Contingency Approach:** Argues there is no single best way to manage; the optimal course of action is contingent upon the internal and external situation.

2. Functions of Management

Management functions are the core activities that managers perform to achieve organizational goals.

- **1. Planning:**

- The most important and prerequisite function.
- **Definition:** Deciding in advance what to do, how to do it, when to do it, and who is to do it. It bridges the gap from where we are to where we want to go.
- **Types of Plans:**
 - **Strategic Plans:** Long-term (5-10 years), created by top-level management.
 - **Operational Plans:** Created by middle-level managers to implement strategic plans.
 - **Tactical Plans:** Short-range, day-to-day plans created by lower-level managers.

- **2. Forecasting:**

- The process of estimating future events by combining past and present data.
- Forms the basis for planning.
- **Types of Forecasting:**
 - **Quantitative:** Uses past numerical data (e.g., time-series analysis, regression).
 - **Qualitative:** Uses non-measurable data and expert judgment (e.g., Delphi method, market research, executive opinions).

- **3. Organizing:**

- The process of arranging and allocating work, authority, and resources to achieve goals.
- **Involves:**
 1. Identifying the work to be performed.
 2. Grouping work into logical jobs and departments.
 3. Assigning activities to individuals and groups.
 4. Fixing responsibilities.
 5. Establishing a hierarchy of authority.

- **4. Staffing:**

- **Purpose:** To put the right person in the right job.
- The process of filling and keeping filled the positions in the organizational structure.

- **Involves:** Manpower planning, recruitment, selection, training & development, remuneration, performance appraisal, and promotions & transfers.

- **5. Directing:**

- The “heart of the management process” where actual work begins.
- The process where managers instruct, guide, and oversee the performance of workers.
- **Includes:** Issuing clear orders, providing necessary training, and maintaining discipline.

- **6. Motivating:**

- Inspiring people to intensify their desire and willingness to perform their duties.
- It is a psychological process involving drives, desires, needs, and other forces.
- **Maslow’s Hierarchy of Needs** is a key motivational theory, outlining needs from basic to complex:
 - **Physiological Needs:** Breathing, food, water, shelter.
 - **Safety & Security Needs:** Health, employment, property.
 - **Love & Belonging Needs:** Friendship, family, intimacy.
 - **Self-Esteem Needs:** Confidence, achievement, respect.
 - **Self-Actualization Needs:** Morality, creativity, fulfilling one’s potential.

- **7. Controlling:**

- Ensuring that actual activities conform to planned activities.
- It measures progress and ensures things are proceeding in the right direction.
- **Involves:**
 1. Establishing standards of performance.
 2. Measuring actual performance.
 3. Comparing actual performance against standards.
 4. Taking corrective action if deviations are found.

- **8. Coordinating:**

- The integration and harmonization of activities across separate departments to accomplish organizational goals.

- **9. Communicating:**

- The process by which instructions, ideas, and information are transmitted, received, and understood.
- **Methods:** Verbal or written, formal or informal.

- **10. Decision Making:**

- The process of identifying alternatives and selecting a course of action to solve a specific problem or achieve an objective.

3. Organizational Structures

- **Span of Control:**

- **Definition:** The number of employees who report directly to a manager. Also called “span of management.”
- **Types:**
 - **Wide Span (Flat Structure):** One manager supervises many employees. Leads to quick decision-making and is suitable for dynamic environments.
 - **Narrow Span (Tall Structure):** One manager supervises few employees. This creates a people-oriented structure suitable for stable systems but can have high administrative costs and slow communication.
- **Graicunas’s Theory:** States that as the number of subordinates increases arithmetically, the number of potential relationships (direct, group, cross) increases geometrically.

- **Types of Organizational Structures:**

- **1. Line Organization (Military/Scalar Structure):**
 - **Characteristics:** Authority flows from top to bottom in a clear vertical line; maintains unity of command.
 - **Advantages:** Simple, clear authority and responsibility, strong discipline.
 - **Disadvantages:** Neglects specialists, overloads key executives, can encourage a dictatorial style.
- **2. Line and Staff Organization:**
 - **Characteristics:** Combines line executives (who have direct authority) with staff specialists (who provide advice and support but have no direct authority).
 - **Advantages:** Utilizes specialization, relieves workload of line executives.
 - **Disadvantages:** Can create conflict between line and staff, increases costs.
- **3. Functional Organization:**
 - **Characteristics:** Introduced by F.W. Taylor. Groups employees by specialty (e.g., engineering, marketing, finance).
 - **Advantages:** Efficient use of resources, simplifies training, improves work quality.
 - **Disadvantages:** Limits development of all-round managers, can promote narrow specialization.
- **4. Project Organization:**
 - **Characteristics:** Creates temporary, autonomous teams to accomplish specific projects. The team disbands after completion.
 - **Advantages:** Flexible, responsive to change, encourages teamwork.
 - **Disadvantages:** Can lead to insecurity for employees due to frequent organizational changes.

- **5. Matrix Organization:**
 - **Characteristics:** A hybrid structure that combines functional and project structures. Employees report to both a functional manager and a project manager (two chains of command).
 - **Advantages:** Decentralized decision-making, flexible and adaptable to fast changes.
 - **Disadvantages:** Violates the principle of unity of command, can have high administrative costs and lead to interpersonal conflicts.
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Module 2: Organizational Behavior (OB)

1. Nature and Importance of OB

- **Definition:** The study and application of knowledge about how people—as individuals and in groups—act within organizations. It aims to understand, predict, and control human behavior.
- **Focus Areas:** Job-related concerns such as productivity, absenteeism, turnover, job satisfaction, and efficiency.
- **Importance:**
 - Helps managers improve productivity and increase employee satisfaction.
 - Provides a basis for creating an ethical culture and a good working environment.
 - Aids in the prediction of human behavior in various situations.
- **Interdisciplinary Nature:** OB is an applied behavioral science that draws from psychology, sociology, economics, anthropology, and other fields.
- **Models of Organizational Behavior:**
 - **Autocratic Model:** Basis is power; managerial orientation is authority; employee orientation is obedience.
 - **Custodial Model:** Basis is economic resources; managerial orientation is money; employee orientation is security and benefits.
 - **Supportive Model:** Basis is leadership; managerial orientation is support; employee orientation is job performance and participation.
 - **Collegial Model:** Basis is partnership; managerial orientation is teamwork; employees feel needed and act as joint contributors.

2. Personality

- **Definition:** An individual's unique and relatively stable pattern of behavior, thoughts, and feelings.

- **Components:**

- **External:** Measurable physical features and actions.
- **Internal:** Cognitive characteristics like feelings, thoughts, values, and interests.

- **Determinants of Personality:**

- **Biological/Hereditary:** Physique, intelligence, gender.
- **Environmental:** Social, cultural, and family influences.
- **Psychological:** Mental development, willpower, attitude.
- **Situational:** The specific context or situation.

- **Personality Assessment Models:**

- **The Myers-Briggs Type Indicator (MBTI):**

- A questionnaire that assesses psychological preferences in how people perceive the world and make decisions.
- It classifies individuals along four dichotomies, resulting in 16 personality types:
 1. **Source of Energy:** Extraversion (E) vs. Introversion (I)
 2. **Processing Information:** Sensing (S) vs. Intuition (N)
 3. **Decision Making:** Thinking (T) vs. Feeling (F)
 4. **Need for Structure:** Judging (J) vs. Perceiving (P)

- **The Big Five Personality Model (OCEAN):**

- A model that describes personality through five broad dimensions:
 1. **Openness to Experience:** (Curious, imaginative vs. Practical, conventional)
 2. **Conscientiousness:** (Hardworking, organized vs. Impulsive, careless)
 3. **Extraversion:** (Outgoing, warm vs. Quiet, reserved)
 4. **Agreeableness:** (Helpful, trusting vs. Critical, suspicious)
 5. **Neuroticism (Emotional Stability):** (Anxious, unhappy vs. Calm, secure)

- **Relationship between Personality and OB:**

- Understanding personality is essential for managers to effectively run an organization.
- It informs key decisions related to:
 - Matching people to the right jobs.
 - Designing appropriate control systems.
 - Developing effective motivation systems.